US ECONOMICS ANALYST

2026 Mid-Year Capex Update: On Track for a Solid Year

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- We and other forecasters expected strong AI spending and new tax incentives to support solid capex growth in 2026, and early data look broadly consistent with that view. Real business fixed investment rose at a 10.4% annualized rate in 2026Q1, a notable step-up from the already solid 5.6% pace last year. Although part of the headline strength reflected higher equipment imports, which boosted capex but had no net effect on GDP, we estimate that underlying domestic capex growth also picked up to 5% from 2.4% in 2025. This week, we update our outlook for the rest of the year.
- AI-related spending will continue to boost equipment and structures investment in 2026 as companies press ahead with the infrastructure buildout. AI-related software and R&D spending should become more visible too as enterprise adoption increases. We estimate that AI will boost *true* capex growth by 3.3pp in 2026 and *measured* capex growth by 2.8pp, with the gap reflecting continued undermeasurement of semiconductor investment. After accounting for the offset from AI-related equipment imports, this translates to a boost of 0.3pp to *true* GDP growth and 0.1pp to *measured* GDP growth.
- The impact of the tax incentives included in the One Big Beautiful Bill Act on business investment is beginning to show up in the data. Early evidence from 2026Q1 reveals a meaningful increase in capex growth among categories most exposed to these incentives, broadly consistent with our prior estimates based on academic studies. We continue to expect the bill's provisions to boost capex growth by roughly 3pp in 2026.
- We do not expect higher oil prices to have a material impact on overall capex growth. Historically, higher oil prices tended to boost energy-sector capital spending, but this relationship has weakened considerably in recent years as producers have prioritized capital discipline over production growth, and high-frequency data through May show little change in drilling and production activity so far. Outside the energy sector, equipment investment has tended to decline only modestly in response to higher energy costs, with the pullback concentrated mainly in the transportation sector. On net, this suggests that higher oil prices are likely to impose at most a modest drag on capex growth.
- Two policy-related headwinds weighed on capex growth in 2025 but should diminish this year. First, a decline in manufacturing construction that had been subsidized by the Inflation Reduction Act and CHIPS Act subtracted about 1.0pp

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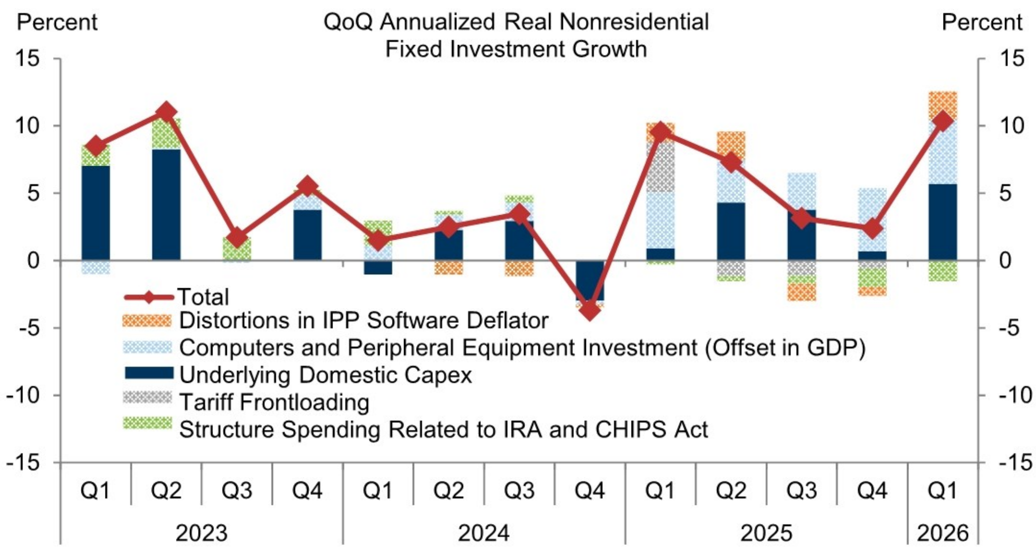
from capex growth in 2025 but should subtract a smaller 0.6pp in 2026. Second, we estimate that the drag on capex growth from higher tariffs, which increased uncertainty and raised the cost of capital goods, should fade from 1.5pp in 2025 to 0.7pp in 2026.

- Taken together, we expect business investment to grow 7.8% in 2026 on a Q4/Q4 basis (vs. 6.5% previously), driven by strong AI investment demand, expanded expensing provisions, and fading drags from the normalization of factory construction and tariffs. Coupled with last week's GDP tracking data, this implies 2026 GDP growth of 2.1% on both a Q4/Q4 and full-year basis.

2026 Mid-Year Capex Update: On Track for a Solid Year

We and other forecasters expected strong AI spending and new tax incentives to support solid capex growth in 2026, and early data look broadly consistent with that view. Real business fixed investment rose at a 10.4% annualized rate in 2026Q1, a notable step-up from the already solid 5.6% pace last year. Although part of the headline strength reflected higher equipment imports, which boosted capex but had no net effect on GDP, we estimate that underlying domestic capex growth—after stripping out increases in equipment imports and other special factors—also picked up to 5% from 2.4% in 2025. This week, we update our business investment outlook for the rest of the year.

Exhibit 1: After Stripping Out Increases in Equipment Imports and Other Special Factors, We Estimate That "Underlying" Domestic Capex Growth Picked Up to 5% in 2026Q1 from 2.4% in 2025



Source: Goldman Sachs Global Investment Research, Department of Commerce

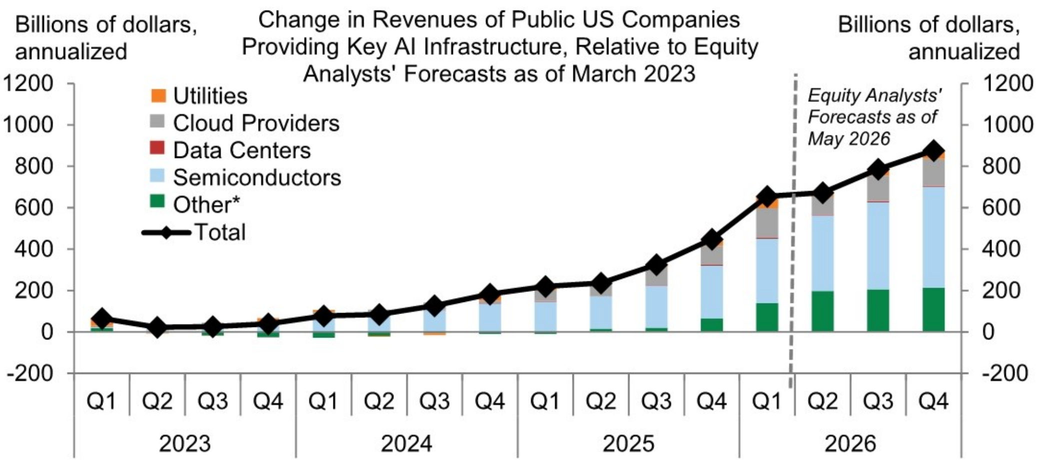
AI Investment

We expect AI-related spending to continue boosting equipment and structures investment in 2026 as companies press ahead with the infrastructure buildout. Over time, the impact on software and R&D should also become more visible as enterprise adoption broadens and more of that spending is captured in the GDP statistics.[1]

Exhibit 2 shows that total nominal spending on AI—estimated as the revenue received by public US companies providing key AI infrastructure, relative to equity analysts' forecasts prior to the start of the current AI investment wave—has reached $650bn (annualized) in 2026Q1 and is projected to surpass $800bn by year-end.

[1] For example, as our Global Economics team recently noted, cloud and data services are eventually recorded as part of own-account software investment when they are used repeatedly and continuously in the regular production of goods or services for more than one year under the Bureau of Economic Analysis's current methodology.

Exhibit 2: Annualized AI-Related Spending Has Reached $650bn in 2026Q1, and Our Analysts Expect It to Rise to $800bn by Year-End



*Includes companies providing memory storage, servers, networking services, and manufacturing equipment. See our Global Economics team's AI adoption tracker "April 2026: Adoption Rises to 19.8%" for more information on these firms.

Source: Goldman Sachs Global Investment Research, FactSet

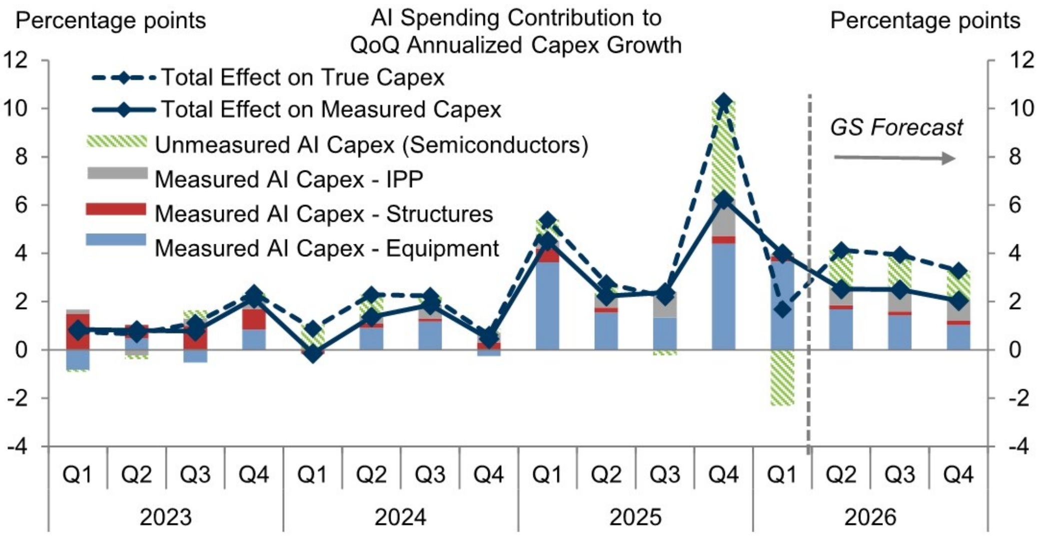
To assess how this increase in AI spending affects US capex and GDP, we build on our prior approach to estimating the impact of AI on both true and measured GDP. Because AI-related investment spans multiple GDP components—equipment, structures, software, and R&D—we estimate its contribution to each one separately.

- **Equipment:** We aggregate increases in imports and domestic manufacturing shipments since 2022 across product categories tied to data center construction, including servers, memory storage devices, semiconductors, and power transmission equipment.
- **Structures:** We aggregate increases in construction spending on data centers and power facilities since 2022, based on the Census construction spending survey.
- **Software:** We aggregate increases in revenue from public US companies providing key AI software services relative to equity analysts' expectations in late 2022, removing the portion that does not count as business fixed investment in GDP.
- **R&D:** We aggregate increases in R&D spending reported by AI hyperscalers and leading chip providers since 2022, removing non-cash and non-recurring items—that is, expenses like stock-based compensation that do not involve direct cash spending—to align with the Bureau of Economic Analysis's (BEA) methodology.

To project how investment in each component may evolve, we start with equity analysts' revenue forecasts for companies providing the corresponding investment goods and services. We then adjust for how much of these revenues will be (or should be) captured in the national accounts (see Exhibit 4 of our earlier report for details).

Our analysis suggests that AI-related spending will boost *true* capex growth by about 3.3pp in 2026. However, as we noted previously, BEA currently treats semiconductors as intermediate inputs and therefore excludes them from the investment component. This means that the impact of AI on *measured* capex growth is likely smaller—roughly 2.8pp.

Exhibit 3: We Estimate That AI-Related Spending Will Boost True Capex Growth by About 3.3pp and Measured Capex Growth by 2.8pp in 2026, With the Gap Reflecting Undermeasurement of Semiconductor Investment

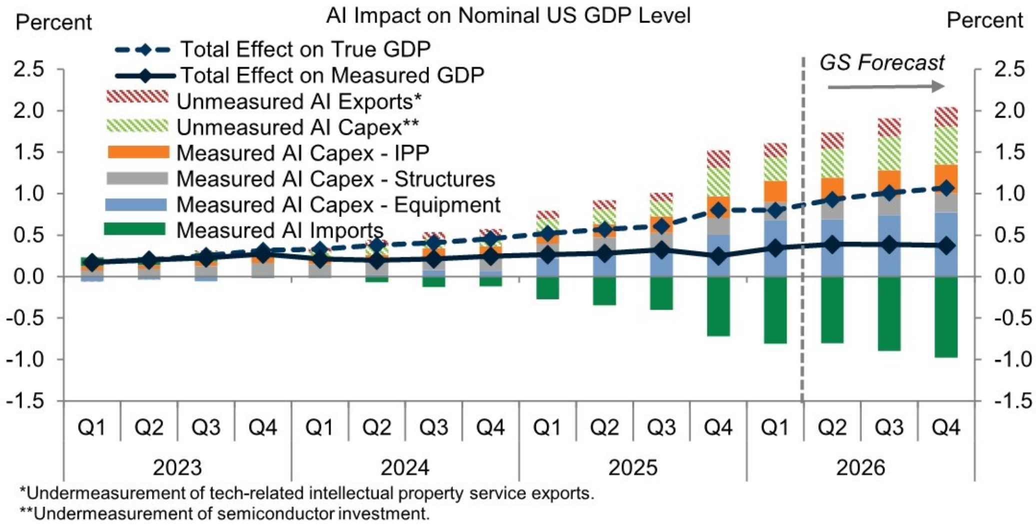


Source: Goldman Sachs Global Investment Research

We expect this sizable capex impact to translate into a relatively modest boost to GDP, for two reasons. First, much of the AI-related equipment is sourced from abroad, so the investment boost is largely offset by higher imports. Second, US exports of tech services remain very low, suggesting that sales of intellectual property and related services (namely, chip design) to foreign manufacturers may not be fully captured in the GDP statistics.[2] Taking these two factors into account, we estimate that AI-related spending will add 0.3pp to *true* GDP growth but only 0.1pp to *measured* GDP growth in 2026.

[2] We assume that unmeasured IP exports amount to roughly 60% of imported semiconductor value in recent years. This estimate is based on academic studies, which showed that upstream chip design originated in the US accounts for approximately 50–60% of the total value of finished chips.

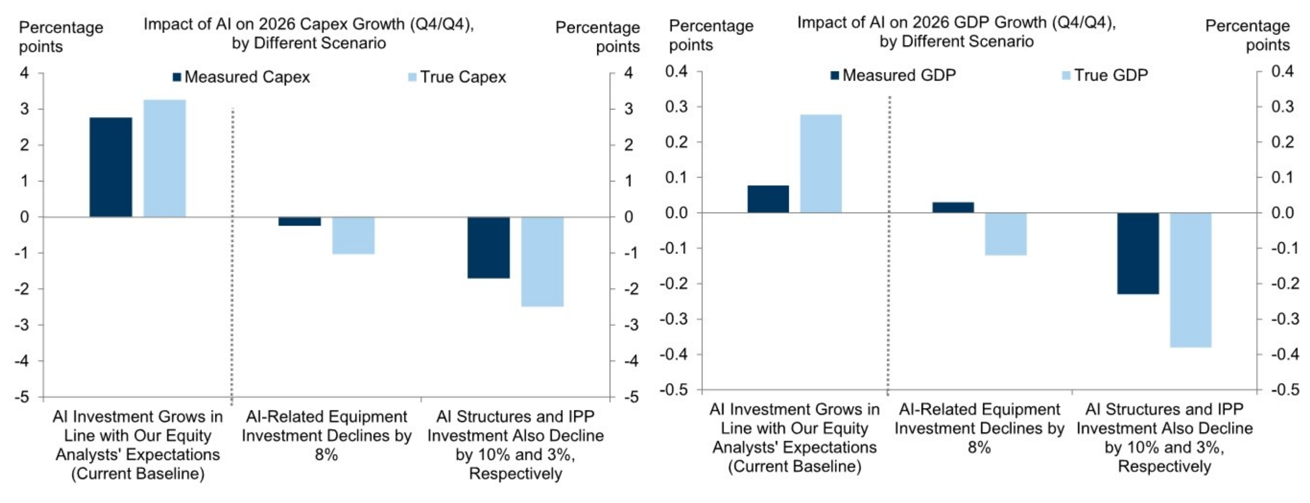
Exhibit 4: We Estimate That AI-Related Spending Will Boost True GDP Growth by 0.3pp but Measured GDP Growth by Only 0.1pp in 2026, With the Gap Reflecting Undermeasurement of Semiconductor Investment and AI-Related Intellectual Property Exports in the GDP Statistics



Source: Goldman Sachs Global Investment Research

What if AI-related spending were to contract sharply, as investment did during the 2000–2001 dot-com bust? We estimate that a pullback concentrated in equipment would barely dent GDP, because lower investment would be largely offset by lower imports. However, if the contraction extends to structures and intellectual property investment, the drag would be more meaningful, subtracting roughly 0.2-0.4pp from GDP growth in 2026. That said, these estimates capture only the direct mechanical impact on GDP. A sharp contraction in AI spending would likely be accompanied by broader financial market stress, which could amplify the drag on growth beyond these mechanical estimates.

Exhibit 5: A Pullback in AI-Related Equipment Investment Would Barely Dent GDP Because Lower Imports Would Offset Much of the Hit, but a Broader Pullback in Structures and IPP Would Have a Meaningful Impact



Note: In our scenario analysis, we assume equipment, structures, and IPP investment decline by magnitudes similar to those seen during the 2000–2001 dot-com bust.

Source: Goldman Sachs Global Investment Research

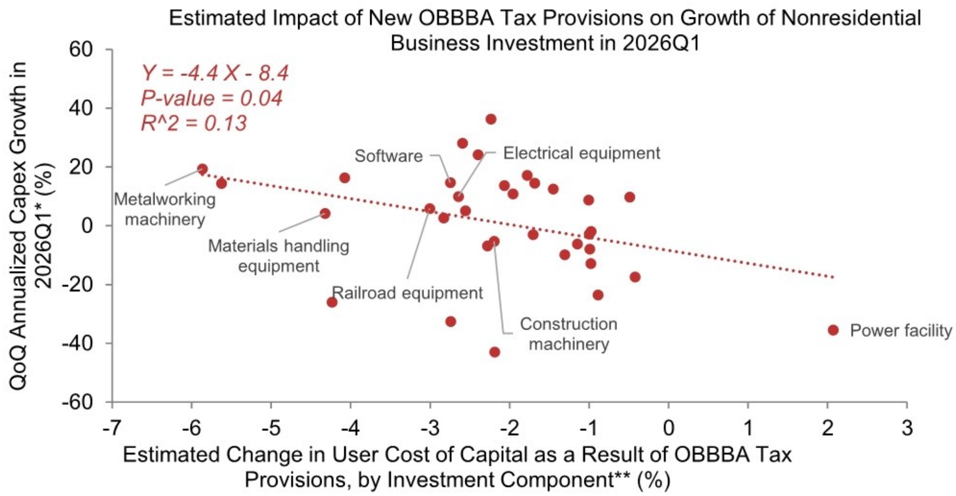
The Boost from New Tax Incentives Appears to Be Underway

The impact of the tax incentives included in the One Big Beautiful Bill Act (OBBBA) on business investment is beginning to show up in the data.

In our 2026 capex outlook, we argued that new tax provisions from OBBBA would incentivize business investment by lowering the cost of capital for US companies. We estimated that manufacturing, transportation, mining, and several other goods-producing industries would see the largest reduction in their user cost of capital due to these tax changes.

We combine these industry-level estimates with data on the propensity of each industry to invest in different investment goods and services from the BEA's capital flows survey to construct an investment-category level exposure index. Exhibit 6 shows that capex growth in categories most exposed to these new tax incentives has increased meaningfully in 2026Q1, and the magnitude of the increase is broadly consistent with our prior estimates based on academic studies.

Exhibit 6: Early Evidence from 2026Q1 Reveals a Meaningful Increase in Capex Growth Among Categories Most Exposed to OBBBA's Expanded Expensing Provisions

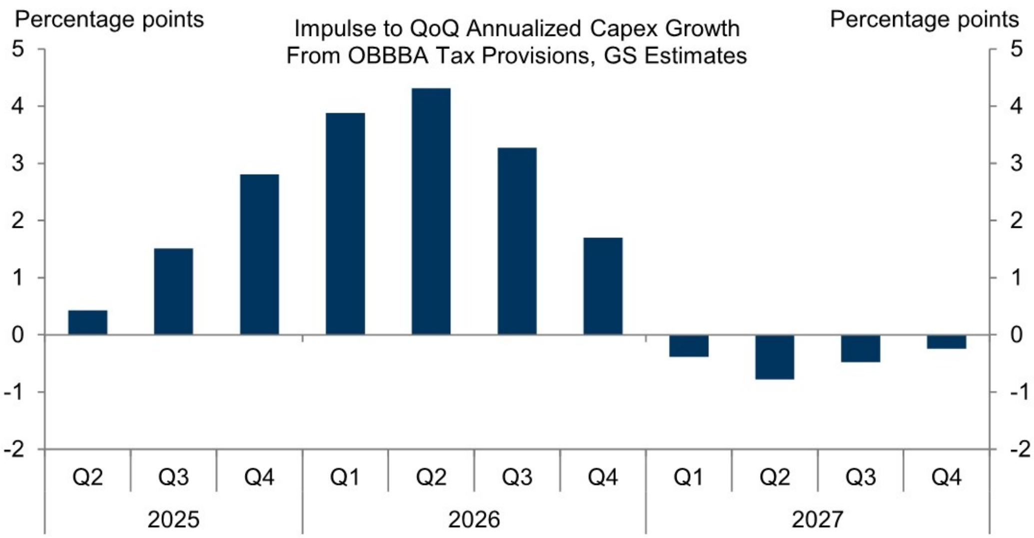


*Each component's capex growth is demeaned using the pre-pandemic average.
**The change in user cost of capital for each investment component is a weighted average of industry-level changes resulting from new OBBBA tax provisions, where the weights are each industry's share of investment in that component. For details on the construction of industry-level user cost of capital estimates, see our prior report, "US Economics Analyst: 2026 Capex Outlook: Adding Up the Tailwinds."

Source: Goldman Sachs Global Investment Research, Department of Commerce

As a result, we continue to expect the bill's provisions to boost capex growth by roughly 3pp in 2026, with the impact peaking around mid-year.

Exhibit 7: We Continue to Expect OBBBA to Boost Capex Growth by About 3pp in 2026



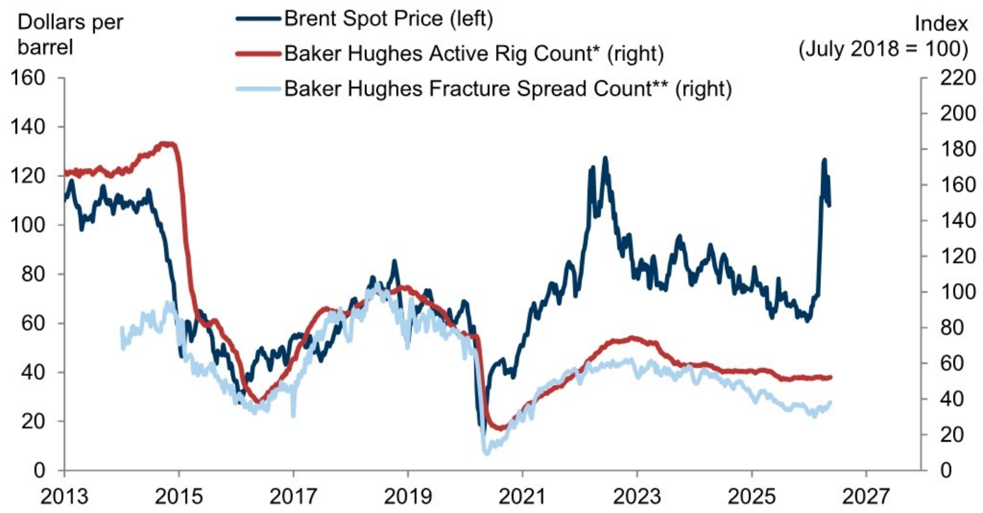
Source: Goldman Sachs Global Investment Research

The Oil Price Shock Should Have a Limited Net Effect on Capex

We do not expect higher oil prices to have a material impact on overall capex growth.

Historically, higher oil prices tended to boost energy-sector capital spending. But this relationship has weakened considerably in recent years, as producers have prioritized capital discipline and shareholder returns over production growth. Despite the recent sharp rise in oil prices, high-frequency data through May show little change in drilling or production activity so far (Exhibit 8). Our energy equity analysts expect activity to remain unchanged throughout 2026 but see a more meaningful increase in energy capex in 2027, once companies reset their budgets and investment guidelines at year-end, provided that oil prices remain elevated.

Exhibit 8: Higher Energy Prices Have Not Led to a Meaningful Increase in Energy Capex in Recent Years, as Producers Have Prioritized Capital Discipline and Shareholder Returns Over Production Growth



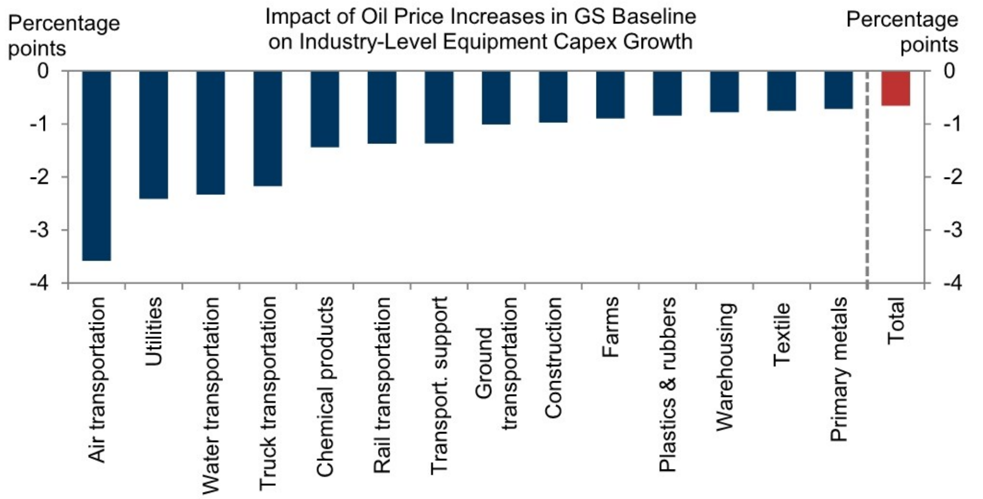
*Number of active and operating drilling rigs.
**Number of active hydraulic fracturing crews actively operating on newly drilled wells to prepare them for oil or gas production.

Source: Goldman Sachs Global Investment Research, Haver Analytics

Outside the energy sector, the effects are also likely to be limited. Equipment investment has tended to decline only modestly in response to higher energy costs, with the pullback concentrated mainly in the transportation sector (Exhibit 9). There is little evidence of a meaningful impact on structures or IPP investment.

On net, we estimate that recent oil price increases should only impose a modest 0.1-0.3pp drag on overall capex growth.

Exhibit 9: Higher Oil Prices Tend to Have a Modest Negative Impact on Non-Energy Equipment Capex, With the Pullback Concentrated in the Transportation Sector



Note: To estimate how oil price increases affect capital expenditure, we regress industry-level equipment (or structures) capex growth on oil price shocks interacted with each industry's oil exposure. An industry's oil exposure is defined as the share of oil and related refined inputs in total production costs. Oil price shocks are identified as price increases driven by OPEC production announcements that shift the global supply of oil (Kanzig, 2021). Our estimation sample covers 1980 to 2024, though we obtain similar estimates when restricting the sample to more recent decades. Our baseline assumes oil prices average $100 in May before declining to $90 by 2026Q4.

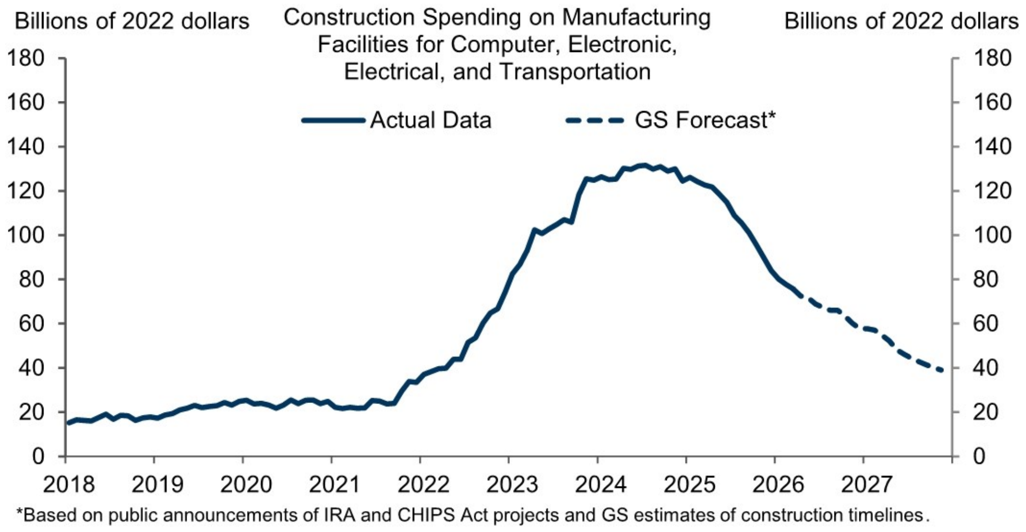
Source: Goldman Sachs Global Investment Research

Fading Policy Headwinds

Two policy-related headwinds weighed on capex growth in 2025 but should diminish this year.

The first is the unwinding of subsidized manufacturing construction under the Inflation Reduction Act and CHIPS Act. As spending associated with projects funded by these programs moved past its peak, the resulting decline subtracted about 1.0pp from capex growth in 2025. That drag is not over but should shrink to roughly 0.6pp by year-end (see our prior report for details of how we form these forecasts).

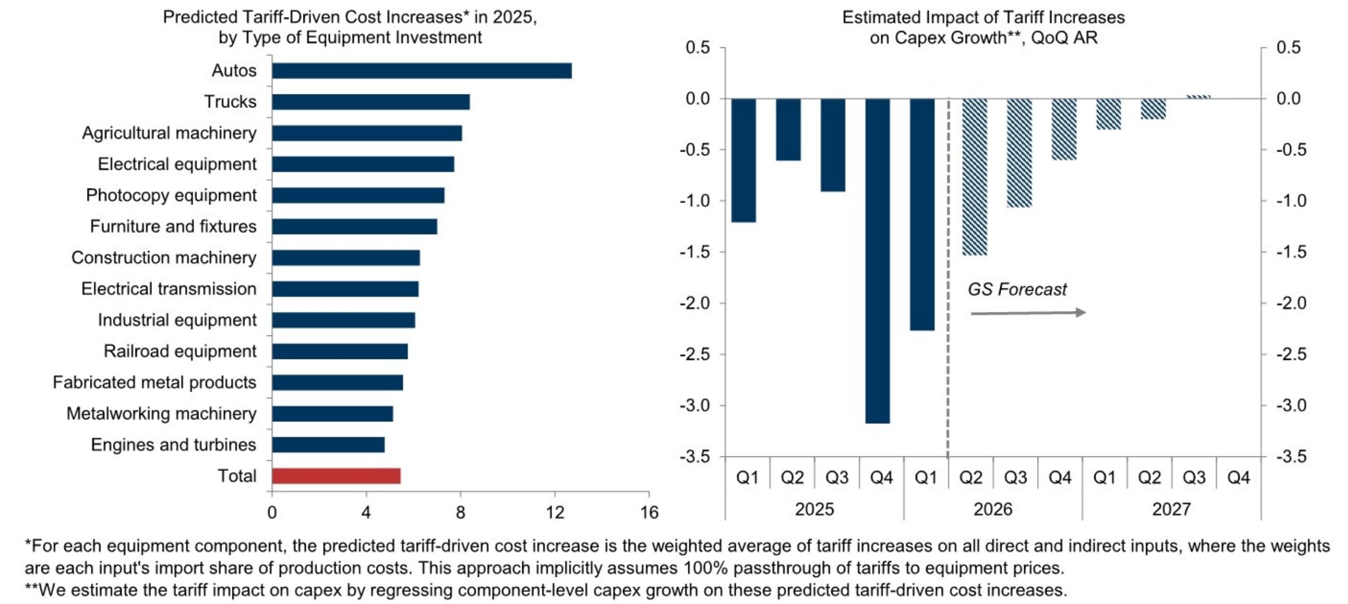
Exhibit 10: Manufacturing Construction Subsidized by the Inflation Reduction Act and CHIPS Act Will Continue to Fall and Weigh on Capex Growth, but the Drag Will Gradually Fade from 1pp in 2025 to 0.6pp by 2026Q4



Source: Goldman Sachs Global Investment Research, Department of Commerce

The second fading policy headwind is the impact of tariffs. Higher tariffs have raised the cost of capital goods (Exhibit 11, left)—particularly transportation and industrial equipment—and increased uncertainty. Together, these forces shaved about 1.5pp off capex growth in 2025. Looking ahead, however, this drag should gradually fade in 2026, as tariff rates have stabilized and producers have largely passed these cost increases through to consumers (Exhibit 11, right).

Exhibit 11: We Estimate That Higher Tariffs Lowered Capex Growth by 1.5pp in 2025 but Expect the Impact to Gradually Fade in 2026

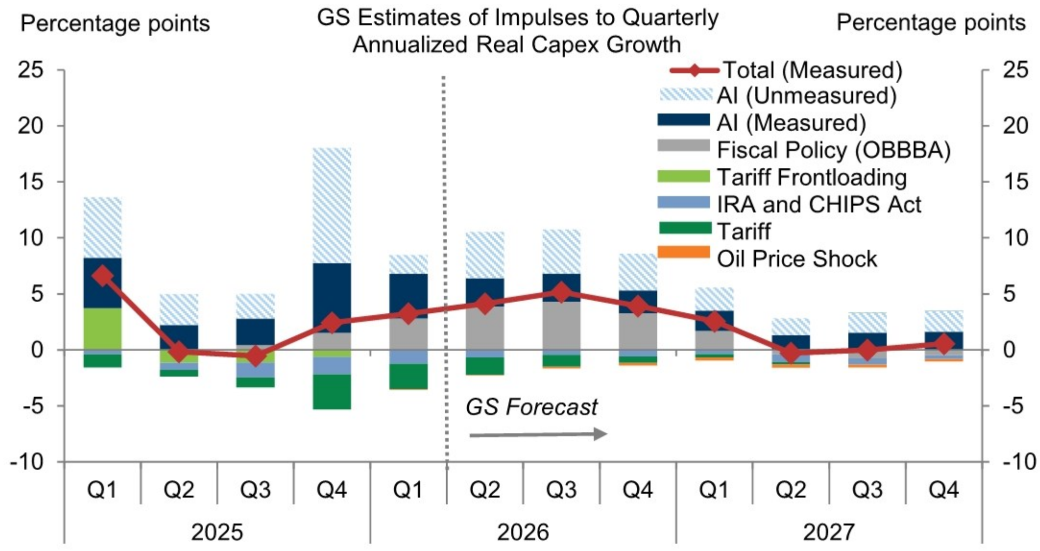


Source: Goldman Sachs Global Investment Research, Department of Commerce

Capex Outlook

We estimate that the impact of AI investment, new OBBBA tax provisions, higher oil prices, declining manufacturing construction spending, and tariffs will result in a net boost to measured capex growth of just over 4pp in 2026.

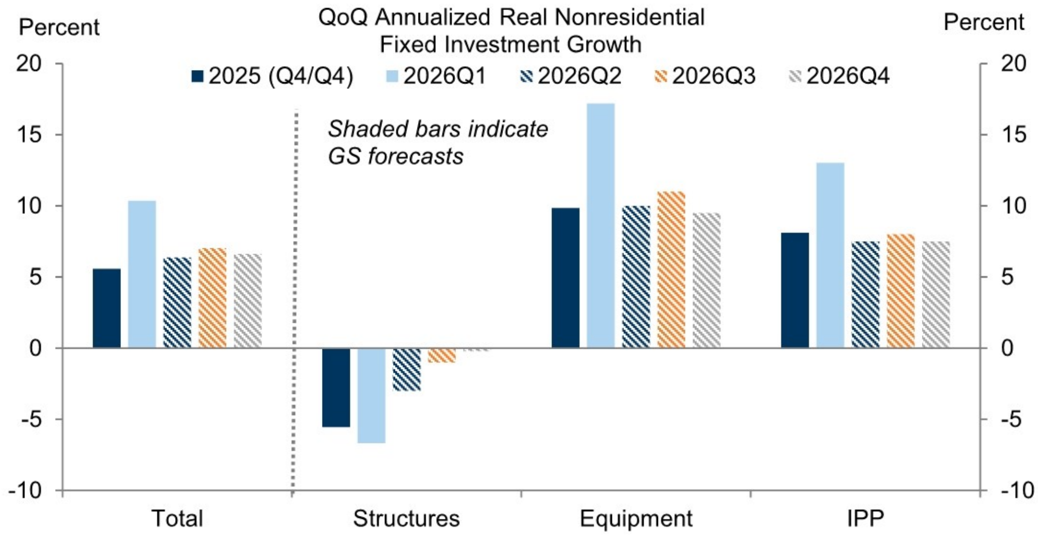
Exhibit 12: We Estimate That the Impact of AI Investment, New OBBBA Tax Provisions, Higher Oil Prices, Declining Manufacturing Construction Spending, and Tariffs Will Result in a Net Boost to Measured Capex Growth of Just Over 4pp in 2026



Source: Goldman Sachs Global Investment Research

Combining these updated impulses with the underlying trend pace of capex growth, we forecast that capex will grow 7.8% in 2026 on a Q4/Q4 basis (vs. 6.5% previously). We expect structures investment to remain weak in 2026, as the unwinding of subsidized manufacturing construction under the Inflation Reduction Act and CHIPS Act continues throughout the year. However, this weaker growth should be more than offset by strong equipment and IPP investment.

Exhibit 13: We Expect Strong Equipment and IPP Investment Growth to More Than Offset Declining Structures Investment



Source: Goldman Sachs Global Investment Research

We expect some of the boost to equipment investment will still be met by higher imports, which subtract from GDP in the national accounts, resulting in a smaller net contribution to GDP growth. Incorporating last week's GDP tracking data and our revised capex forecast, we now estimate 2026 GDP growth of 2.1% on both a Q4/Q4 and full-year basis.

Elsie Peng

The US Economic and Financial Outlook

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025	2026				2027			
						Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
OUTPUT AND SPENDING														
Real GDP	**2.9**	**2.8**	**2.1**	2.1	2.1	**0.5**	**2.0**	2.0	2.1	2.1	2.0	2.2	2.2	2.3
Real GDP (annual=Q4/Q4, quarterly=yoy)	**3.4**	**2.4**	**2.0**	2.1	2.2	**2.0**	**2.7**	2.2	1.6	2.1	2.1	2.1	2.1	2.2
Consumer Expenditures	**2.6**	**2.9**	**2.6**	1.9	1.8	**1.9**	**1.6**	1.5	1.4	1.5	1.9	2.0	2.1	2.2
Residential Fixed Investment	**-7.8**	**3.2**	**-2.2**	-4.0	1.6	**-1.7**	**-8.0**	-3.5	1.5	1.5	2.2	2.2	2.2	2.2
Business Fixed Investment	**7.3**	**2.9**	**4.1**	6.4	5.7	**2.4**	**10.4**	6.4	7.5	7.0	4.9	4.9	4.9	4.9
Structures	**16.7**	**1.1**	**-5.3**	-4.7	1.8	**-6.6**	**-6.7**	-3.0	-1.0	-0.2	3.5	3.5	3.5	3.5
Equipment	**2.9**	**3.5**	**8.3**	10.1	6.8	**4.3**	**17.2**	10.0	11.0	9.5	5.0	5.0	5.0	5.0
Intellectual Property Products	**6.2**	**3.5**	**5.6**	8.8	6.4	**5.4**	**13.0**	7.5	8.2	7.8	5.5	5.5	5.5	5.5
Federal Government	**3.3**	**3.8**	**-1.2**	-1.0	0.9	**-16.7**	**9.4**	0.0	1.0	1.0	1.0	1.0	1.0	1.0
State & Local Government	**3.6**	**3.8**	**2.5**	1.3	0.9	**1.5**	**1.6**	0.5	0.5	1.0	1.0	1.0	1.0	1.0
Net Exports ($bn, '17)	**-925**	**-1,033**	**-1,091**	-1,106	-1,178	**-969**	**-1,068**	-1,100	-1,118	-1,139	-1,155	-1,170	-1,186	-1,202
Inventory Investment ($bn, '17)	**47**	**44**	**29**	25	49	**-16**	**-8**	27	35	45	45	48	50	53
Nominal GDP	**6.7**	**5.3**	**5.0**	6.0	4.7	**4.2**	**5.6**	8.1	5.0	4.6	4.4	4.3	4.3	4.3
Industrial Production, Mfg.	**-1.0**	**-1.0**	**0.9**	3.0	3.6	**-3.1**	**5.7**	4.8	4.2	4.0	3.3	3.2	3.3	3.3
HOUSING MARKET														
Housing Starts (units, thous)	**1,421**	**1,371**	**1,356**	1,286	1,322	**1,323**	**1,280**	1,290	1,280	1,292	1,304	1,316	1,328	1,340
New Home Sales (units, thous)	**665**	**685**	**672**	670	644	**680**	**690**	690	662	638	626	632	649	670
Existing Home Sales (units, thous)	**4,103**	**4,067**	**4,076**	4,212	4,375	**4,157**	**4,169**	4,189	4,223	4,267	4,310	4,353	4,396	4,440
Case-Shiller Home Prices (%yoy)*	**5.3**	**3.8**	**0.6**	0.8	2.2	**0.6**	**0.3**	0.8	0.7	0.8	1.1	1.4	1.8	2.2
INFLATION (% ch, yr/yr)														
Consumer Price Index (CPI)**	**3.3**	**2.9**	**2.7**	3.7	2.0	**2.7**	**2.7**	3.9	3.7	3.7	3.3	2.3	2.2	2.1
Core CPI **	**3.9**	**3.2**	**2.6**	2.2	2.0	**2.7**	**2.5**	2.7	2.4	2.3	2.0	1.8	1.8	2.0
Core PCE** †	**3.1**	**3.0**	**3.0**	2.8	2.0	**2.9**	**3.1**	3.3	3.1	2.9	2.4	2.0	1.9	1.9
LABOR MARKET														
Unemployment Rate (%)^	**3.8**	**4.1**	**4.4**	4.6	4.4	**4.4**	**4.3**	4.4	4.6	4.6	4.6	4.5	4.5	4.4
U6 Underemployment Rate (%)^	**7.2**	**7.6**	**8.4**	8.7	8.3	**8.4**	**8.0**	8.4	8.6	8.7	8.7	8.6	8.4	8.3
Payrolls (thous, monthly rate)	**210**	**122**	**10**	51	92	**-39**	**63**	65	30	47	70	97	100	100
Employment-Population Ratio (%)^	**60.1**	**59.9**	**59.7**	58.9	58.8	**59.7**	**59.2**	59.1	59.0	58.9	58.9	58.8	58.8	58.8
Labor Force Participation Rate (%)^	**62.5**	**62.5**	**62.4**	61.8	61.5	**62.4**	**61.9**	61.8	61.8	61.8	61.7	61.6	61.6	61.5
Average Hourly Earnings (%yoy)	**4.4**	**3.9**	**4.0**	3.9	3.8	**4.0**	**4.0**	4.0	3.9	3.8	3.8	3.8	3.8	3.8
GOVERNMENT FINANCE														
Federal Budget (FY, $bn)	**-1,694**	**-1,833**	**-1,775**	-1,950	-2,050	--	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS														
FF Target Range (Bottom-Top, %)^	**5.25-5.5**	**4.25-4.5**	**3.5-3.75**	3.25-3.5	3-3.25	**3.5-3.75**	**3.5-3.75**	3.5-3.75	3.5-3.75	3.25-3.5	3-3.25	3-3.25	3-3.25	3-3.25
10-Year Treasury Note^	**3.88**	**4.58**	**4.18**	4.10	4.15	**4.18**	**4.30**	4.30	4.20	4.10	4.10	4.10	4.15	4.15
Euro (€/$)^	**1.11**	**1.04**	**1.17**	1.18	1.20	**1.17**	**1.15**	1.16	1.19	1.18	1.19	1.20	1.20	1.20
Yen ($/¥)^	**141**	**157**	**157**	158	141	**157**	**159**	158	158	158	156	141	101	141

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.
** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.
† PCE = Personal consumption expenditures. ^ Denotes end of period.
Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

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